in cases where a nominee may die before the owner of the asset. For instance, there could be a situation where one has made his wife the nominee in his bank account, but she dies before him. Then, there is also the possibility that family members are not aware of who the nominee is. The senior Bhasins had most of their financial assets held jointly with each other as nominees. But, as both died in quick succession, there was no scope to make any subsequent changes to nominees.

In July 2021, replying to a question in Parliament, Bhagwat Karad, the minister of state of finance,said that about Rs 50,000 crore was lying in unclaimed sums with banks and insurance companies. Most of this is due to lack of having nominees with bank accounts and insurance policies. The unclaimed sums with mutual funds, EPFO, demat account and other financial instruments are staggering. Data compiled by Recoversy, a company that helps people recover money from financial institutions (see *Unclaimed Investments*) tells a sorry story.

Recoversy helps people who have lost documents—regarding their savings and investments—recover such investments. For instance, there are chances that one may have forgotten their investments in a mutual fund or in a bank fixed deposit due to passing of time and may not have an updated document as proof. Moreover, in instances when one moves cities, a forwarding address or contact may not have been recorded, leaving no track or trail of such accounts and financial investments. Over the years, regulators in the financial sector through the KYC (Know Your Customer) process have ensured that account holders have nominees mentioned.

"My father had a chartered accountant I know, but even he is no more and we are trying to piece the trail," adds Bhasin. She is unable to trace the property document of the flat owned by her parents. And, the group housing society is unwilling to acknowledge her as a rightful heir in the interim till the house documents are sorted. "That my brother doesn't reside here and is no more an Indian citizen makes things even more challenging," she says. The absence of a standard nomination process or succession possibility across financial instruments makes it challenging for individuals to effect changes regarding nomination.

A NOMINEE IS JUST THE RECEIVER OF THE MONEY; HE HAS TO EVENTUALLY HAND OVER THE MONIES TO THE LEGAL HEIRS AND CANNOT USE THE MONEY UNLESS HE IS THE LEGAL HEIR

UNCLAIMED INVESTMENTS

₹28,800 CRORE — Value of unclaimed shares transferred to IEPF

₹24,000 CRORE — Value of unclaimed mutual fund units

₹15,166 CRORE — Value of matured insurance policies

₹28,860 CRORE — Unclaimed amount in bank accounts

₹5,454 CRORE — Value of unclaimed corporate dividends

₹48,000 CRORE — Unclaimed PPF

₹3,78,000 CRORE — Amount of physical shares not yet dematerialised

₹11,770 CRORE — Unclaimed amount in UTI schemes

Source: Recoversy; approximate amounts as on Dec 31, 2020

GETTING IT RIGHT

Nomination is the right given to a person of an investment product to appoint another person to receive the money in case of their demise. In the absence of nomination facility, one can submit a court order or succession certificate to claim access to the financial instrument. Individuals can nominate one or more than one person as the one(s) who will receive the money. The senior Bhasin retired as a PSU employee and was drawing a pension. He also had money in the bank under a joint ownership with their mother, and though they had named her (Neha) as the nominee, they had not updated her surname.

This seemingly small detail doesn't allow her to access the account. That every financial instrument must have a nominee is a given provision and there have been instances when nominations are done for convenience without thinking of its future consequences. It is common for a young salaried individual to name their parents as nominee when taking life insurance. However, later in life after they are married and have children, and the need for policy proceeds may be significant for his family. But by not changing the nomination, the intended beneficiary doesn't receive any benefits.

However, a will supersedes all such nominations, which means for a smooth